

Corporate Social Responsibility (CSR)

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WHAT'S COVERED

In this lesson, you will learn more about the meaning and ramifications of corporate social responsibility. Specifically, this lesson will cover:

1. Corporate Social Responsibility Defined



BEFORE YOU START

Recall that corporate social responsibility, often initialized as CSR, is a broad term describing the returns corporations and other businesses provide as part of their social contract. It goes beyond profit, and considers the communities, nations, and planet in which they operate as a business. But what does that mean, specifically, and what does it entail? This tutorial focuses on the business as a socially responsible entity conscious of the influences it has on society. That is, we look at the role companies, and large corporations in particular, play as active stakeholders in communities. Corporations, by their sheer size, affect their local, regional, national, and global communities. Creating a positive impact in these communities may mean providing jobs, strengthening economies, or driving innovation. Negative impacts may include doing damage to the environment, forcing the exit of smaller competitors, and offering poor customer service, to name a few. This section examines the concept of a corporation as a socially responsible entity conscious of the influences it has on society.

In recent years, many organizations have embraced corporate social responsibility (CSR), a philosophy in which the company's actions extend beyond their business to caring for the environment and acting on other social concerns. Many corporations work on prosocial endeavors and share that information with their customers and the communities where they do business. CSR, when conducted in good faith, is beneficial to corporations and their stakeholders. This is especially true for stakeholders that have typically been given low priority and little voice, such as the natural environment and community members who live near corporate sites and manufacturing facilities.

CSR in its ideal form focuses managers on demonstrating the social good of their new products and endeavors. It can be framed as a response to the backlash corporations face for a long track record of harming ecosystems and communities in their efforts to be more efficient and profitable. Pushback is not new. Charles Dickens wrote about the effects of the coal economy on nineteenth-century England and shaped the way we think about the early industrial revolution. Upton Sinclair's *The Jungle* provided a similar critique of American industry. The twentieth-century writer Chinua Achebe, among many others, wrote about colonization and its transformative and often painful effect on colonized cultures. Rachel Carson first brought public attention to chemical poisoning of U.S. waterways in her 1962 book *Silent Spring*, often seen as

launching the environmental movement. Increasingly, companies are expected to not only make profits but make the world a better place.

Stakeholder communities left out of or directly harmed by the economic revolution have demanded that they be able to influence corporate and governmental economic practices to benefit more directly from corporate growth as well as entrepreneurship opportunities. They've also stood up to make their voice heard to prevent harm and damage. The trend to adopt CSR may represent an opportunity for greater engagement and involvement by groups mostly ignored until now by the wave of corporate economic growth reshaping the industrialized world.



BRAINSTORM

Consider a paper company that operates in a small town beside a river, making goods like bathroom tissue and paper towels. Consider all of the stakeholders—anyone (or anything) affected by their operations. Now consider how much say they have in the business's operations. Keep the list handy; we will come back to it shortly.

2. CSR and the Environment

Corporations have responded to stakeholder concerns about the environment and sustainability. In 1999, Dow Jones began publishing an annual list of companies for which sustainability was important. **Sustainability** is the practice of preserving resources and operating in a way that is ecologically responsible in the long term. The Dow Jones Sustainability Indices “serve as benchmarks for investors who integrate sustainability considerations into their portfolios.” There is a growing awareness that human actions harm the environment. Destruction of the environment can ultimately lead to reduction of resources, declining business opportunities, and lowered quality of life. In addition to safeguarding the environment, other ethical contributions that stakeholders could lobby corporate management to make include establishing schools and health clinics in impoverished neighborhoods and endowing worthwhile nonprofit organizations in the communities where companies have a presence.

Other stakeholders, such as state governments, NGOs (non-governmental organizations), citizen groups, and political action committees in the United States apply social and legal pressure on businesses to improve their environmental practices. For example, the state of California in 2015 enacted a set of laws, referred to as the California Transparency in Supply Chains Act, which requires firms to report on the working conditions of the employees of their suppliers. The law requires only disclosure, but the added transparency is a step toward holding U.S. and other multinational corporations responsible for what goes on before their products appear in shiny packages in stores. The legislators who wrote California's Supply Chains Act recognize that consumer stakeholders are likely to bring pressure to bear on companies found to use slave labor in their supply chains, so forcing disclosure can bring about change because corporations would rather adjust their relationships with supply chain stakeholders than risk alienating massive numbers of customers.

As instances of this type of pressure on corporations increase around the world, stakeholder groups become simultaneously less isolated and more powerful. Firms need customers. Citizens need employment, and the state needs taxes just as firms need resources. All stakeholders exist in an interdependent network of relationships, and what is most needed is a sustainable system that enables all types of key stakeholders to establish and apply influence.



TERM TO KNOW

Sustainability

The practice of preserving resources and operating in a way that is ecologically responsible in the long term.

3. People, Planet, and Profits: The Triple Bottom Line



The triple bottom line (people, planet, and profits) correlates to ESG (environment, social, and governance).

How can corporations and their stakeholders measure some of the effects of CSR programs? Recall the triple bottom line (TBL) redefines corporate goals to include profits, people, and planet. TBL forces us to reconsider the very concept of the “bottom line.” Most businesses, and most consumers for that matter, think of the bottom line as a shorthand expression of their financial well-being. Are they making a profit, staying solvent, or falling into debt? That is the customary bottom line, but John Elkington, a renowned authority on CSR, suggests that businesses need to consider not just one but rather three measures of their *true* bottom line: the economic and also the social and environmental results of their actions. The social and environmental impacts of doing business, called people and planet in the TBL, are the *externalities* of their operations that companies must take into account.

The TBL concept recognizes that external stakeholders consider it a corporation’s responsibility to go beyond making money. If increasing wealth damages the environment or makes people sick, society demands that the corporation revise its methods or leave the community. Society, businesses, and governments have realized that all stakeholders have to work for the common good. When they are successful at acting in a socially responsible way, corporations will and should claim credit. In acting according to the TBL model and promoting such acts, many corporations have reinvested their efforts and their profits in ways that can ultimately lead to the development of a sustainable economic system.



THINK ABOUT IT

Return to your list of stakeholders affected by operations of a small-town paper mill. For each, consider which aspect of the “triple bottom line” most affects them. You are likely to see that people who do not benefit directly from the company’s profits have concerns regarding “people” and “profit,” such as the company’s operations affecting their air, soil, and water, or being essential to the local economy.

4. CSR as Public Relations Tool



Companies can exaggerate their commitment to social or environmental responsibility as a marketing tool.

On the other hand, for some, CSR is nothing more than an opportunity for publicity as a firm tries to look good through various environmentally or socially friendly initiatives without making systemic changes that will have long-term positive effects. Carrying out superficial CSR efforts that merely cover up systemic ethics problems in this inauthentic way (especially as it applies to the environment), and acting simply for the sake of public relations is called **greenwashing**. Examples of greenwashing might include a business touting the amount of recycle bins they have, but all items in the recycle bin end up in the trash. Another example might be a hotel leaving a sign in the rooms that states, "Please reuse your towel," when the real reason they do this is to save on laundry cost. Other examples could be touting how "green" a company is on packaging, when they actually do little for the environment.



THINK ABOUT IT

If something a company does helps the environment, does it matter that they are only doing it for personal benefit and for public relations?

Coca-Cola provides a good example of practices some would identify as greenwashing. The company once had the following on its website:

Engaging our diverse stakeholders in long-term dialogue provides important input that informs our decision making, and helps us continuously improve and make progress toward our 2020 sustainability goals . . . We are committed to ongoing stakeholder engagement as a core component of our business and sustainability strategies, our annual reporting process, and our activities around the world. As active members of the communities where we live and work, we want to strengthen the fabric of our communities so that we can prosper together.

Currently, 20% of the people on Earth consume a Coca-Cola product each day, meaning a very large portion of the global population belongs to the company's consumer stakeholder group. Depending on the process and location, it is estimated that it takes more than three liters of water to produce a liter of Coke. Each day, therefore, millions of liters of water are removed from the Earth to make Coke products, so the company's

water footprint can endanger the water supplies of both employee and neighbor stakeholders. For example, in Chiapas, Mexico, the Coca-Cola bottling plant consumes more than one million liters of water daily, but only about half the population has running water. Mexico leads the world in per capita consumption of Coke products.

The consumption of carbonated beverages replaces water consumption and impacts overall health. From the repeated and prolonged exposure to refined, processed sugars to the ingestion of phosphoric acid, a key ingredient in colas, the ingredients themselves can play an important part in body growth and development, and can impact our bodies in distinct and damaging ways across our lifetimes. In addition, the normalization of sugar consumption itself influences how we perceive foods as sweet and impacts our preferences while fueling our cravings. Our bodies are built to process sugar as infrequent, even rare, foods in our overall diet historically, but the industrial development of processed foods has made cheap sugars widely available in many foods, disproportionately impacting low-income families. Sugar itself can be addictive, and products are designed to sell. Artificial sweeteners are also harmful, with their own risks, side effects, and associated damage.

Another issue is the proliferation of single-use plastics. This plastic that bottles are made from does not disappear when we discard them. Plastic does not biodegrade and many, if not most, recyclable plastics produced on our planet are not, in fact, recycled. Still, the sun does break down plastics over time, as they dry out, lose their elasticity, become brittle, and break apart, becoming microplastic beads that we find everywhere from the oceans to polar ice. The sands of future generations will no doubt contain plastics.

If consumers were aware only of Coca-Cola's advertising campaigns and corporate public relations writings online, they would miss the very real concerns about water security, health impact on consumers, and the environmental toll associated with soft drinks. It requires vigilance on the part of stakeholders to continue to drive real CSR practices and to differentiate true CSR efforts from greenwashing.



TERM TO KNOW

Greenwashing

Carrying out superficial CSR efforts that merely cover up systemic ethics problems, especially as it applies to the environment.

5. The Ultimate Stakeholder Benefit

CSR used in good faith has the potential to reshape the orientation of multinational corporations to their stakeholders. By positioning themselves as stakeholders in a broader global community, conscientious corporations can be exemplary organizations. They can demonstrate interest and influence on a global scale and improve the way the manufacture of goods and delivery of services serve the local and global environment. They can return to communities as much as they extract and foster automatic financial reinvestment so that people willing and able to work for them can afford not only the necessities but a chance to pursue happiness.

In return, global corporations will have sustainable business models that look beyond short-term growth forecasts. They will have a method of operating and a framework for thinking about sustained growth with stakeholders and as stakeholders. Ethical stakeholder relationships systematically grow wealth and opportunity in dynamic fashion. Without them, the global consumer economy may fail. On an alternate and ethical path of prosperity, today's supplier is a consumer in the next generation, and Earth is still inhabitable after many generations of dynamic change and continued global growth. It is a comprehensive and complex challenge with many perspectives, but the failure to find common ground and purpose, with a long-term

perspective focused on sustainability, has predictably negative consequences for us all.



SUMMARY

In this lesson, you learned about **corporate social responsibility (CSR)** as a key concept. In business, the traditional decision factor has been profit as the bottom line, but increasingly, people, corporations, and governments recognize that profit must be defined in ways that include stakeholders and consider how our actions impact future generations. **CSR and the environment** include both short-term and long-term concerns for how local ecosystems are affected by industry. Increasingly, people, planet, and profits represent the many stakeholders who are impacted by corporate decisions and actions instead of simply profit and shareholders. CSR is, for many corporations, positive public relations. It's a brand awareness strategy that is part of marketing and sales. The **ultimate stakeholder benefit** is a sustainable business model that allows for dynamic growth and looks beyond short-term gains, while protecting our planet for future generations.

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